

Customer Churn Analysis – Insights Report

Executive Summary

This project analyzes customer churn behavior using the Churn Modelling dataset to identify factors influencing customer retention and attrition. The objective is to uncover patterns in customer behavior and provide actionable recommendations to reduce churn and improve customer loyalty.

Key Findings

1. Customer Activity Strongly Impacts Retention

Inactive customers exhibited significantly higher churn rates compared to active customers.

2. Age Influences Churn Behavior

Customers in higher age groups were more likely to leave the company than younger customers.

3. Regional Variations Exist

Churn rates differed across geographical regions, indicating potential differences in customer preferences and experiences.

4. Product Adoption Affects Loyalty

Customers using fewer products demonstrated a higher likelihood of churn.

5. Long-Term Customers Are More Stable

Customers with longer tenure tended to remain with the company.

Business Impact

Customer churn directly affects revenue growth and customer acquisition costs. Identifying high-risk customer segments enables businesses to take proactive retention measures and improve customer lifetime value.

Recommendations

- Increase customer engagement through personalized communication.
- Promote cross-selling opportunities.
- Focus on high-risk customer segments.
- Implement early warning systems for churn prediction.
- Enhance overall customer experience.

Conclusion

Customer engagement, product usage, age, geography, and tenure are key factors influencing churn. By implementing targeted retention strategies, businesses can reduce churn and improve long-term growth.

Tools Used: Power BI, DAX, Excel/CSV

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